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Seasonal Dummy Regression — Tests

Practice Assignment • 10 min

Due Jul 29, 11:59 PM +07

Your grade: 100%

Your latest: **100%** • Your highest: **100%**

To pass you need at least 80%. We keep your highest score.

Next item →

1. **Suppose we are forecasting *House Rent*, and have the following explanatory variables under consideration:** 1 / 1 point

   - **Distance from City – measured in kilometres from the city where no house is further than 25 kilometres from the city.**
   - **City – where the city can be one of 8 cities: Brisbane, Sydney, Canberra, Melbourne, Hobart, Adelaide, Perth, or Darwin.**

   Once we perform our regression, what would be the best way for us to confirm if the explanatory variables are jointly significant, and thus the regression equation is useful for forecasting?

   - The P-value of the coefficient of more than half of the cities being less than 0.05.
   - The P-value of the coefficient of the Distance_from_City variable being less than 0.05.
   - The P-value of the intercept being less than 0.05.
   - The P-value of the F-test being less than 0.05.

   ✓ Nice work

   Yes, this is correct.

2. **Suppose we are forecasting *House Rent*, and have the following explanatory variables under consideration:** 1 / 1 point

   - **Distance from City – measured in kilometres from the city where no house**